

ECO 360—MONEY AND BANKING
Fall 2015

Exam 3

November 9, 2015

Name (Print): _____

SBU ID: _____

Time Limit: 1 hour and 20 minutes

Instructions: This exam contains 7 pages (not including this cover page). Check to see if any pages are missing. Enter all requested information on the top of this page and on the answer sheet provided. The exam consists of 60 multiple choice questions, where each question has a value of *2 points*. You must fill your answers for this part in the answer sheet. The exam will be graded over 100 points.

MULTIPLE CHOICE. Choose the one alternative that best completes the statement or answers the question.

- 1) The political business cycle refers to the phenomenon that just before elections, politicians enact _____ policies. After the elections, the bad effects of these policies (for example, _____) have to be counteracted with _____ policies. 1) _____
A) contractionary; higher unemployment; expansionary
B) expansionary; higher unemployment; contractionary
C) expansionary; a higher inflation rate; contractionary
D) contractionary; a higher inflation rate; expansionary
- 2) Reserves are equal to the sum of _____ 2) _____
A) required reserves and excess reserves. B) excess reserves and vault cash reserves.
C) vault cash reserves and total reserves. D) required reserves and vault cash reserves.
- 3) The strongest argument for an independent Federal Reserve rests on the view that subjecting the Fed to more political pressures would impart _____ 3) _____
A) a countercyclical bias to monetary policy. B) an inflationary bias to monetary policy.
C) a deflationary bias to monetary policy. D) a disinflationary bias to monetary policy.
- 4) What makes the Federal Reserve so unique compared to other central banks around the world is its _____ 4) _____
A) decentralized structure. B) regulatory functions.
C) monetary policy functions. D) centralized structure.
- 5) Individuals that lend funds to a bank by opening a checking account are called _____ 5) _____
A) partners. B) debt holders. C) policyholders. D) depositors.
- 6) The three players in the money supply process include _____ 6) _____
A) banks, depositors, and the central bank. B) banks, depositors, and the U.S. Treasury.
C) banks, depositors, and borrowers. D) banks, borrowers, and the central bank.
- 7) Both _____ and _____ are Federal Reserve assets. 7) _____
A) currency in circulation; reserves B) currency in circulation; securities
C) securities; reserves D) securities; loans to financial institutions
- 8) The monetary liabilities of the Federal Reserve include _____ 8) _____
A) currency in circulation and reserves.
B) currency in circulation and loans to financial institutions.
C) securities and reserves.
D) securities and loans to financial institutions.
- 9) The sum of the Fed's monetary liabilities and the U.S. Treasury's monetary liabilities is called _____ 9) _____
A) currency in circulation. B) the monetary base.
C) the money supply. D) bank reserves.

- 10) The monetary base consists of _____
 A) currency in circulation and the U.S. Treasury's monetary liabilities.
 B) currency in circulation and Federal Reserve notes.
 C) reserves and Federal Reserve Notes.
 D) currency in circulation and reserves.
- 11) Total reserves minus bank deposits with the Fed equals _____
 A) vault cash. B) currency in circulation.
 C) required reserves. D) excess reserves.
- 12) Total Reserves minus vault cash equals _____
 A) required reserves. B) bank deposits with the Fed.
 C) currency in circulation. D) excess reserves.
- 13) The amount of deposits that banks must hold in reserve is _____
 A) excess reserves. B) vault cash.
 C) required reserves. D) total reserves.
- 14) Suppose that from a new checkable deposit, First National Bank holds two million dollars in vault cash, eight million dollars on deposit with the Federal Reserve, and one million dollars in required reserves. Given this information, we can say First National Bank has _____ million dollars in excess reserves.
 A) three B) nine C) ten D) eleven
- 15) Suppose that from a new checkable deposit, First National Bank holds two million dollars in vault cash, eight million dollars on deposit with the Federal Reserve, and one million dollars in required reserves. Given this information, we can say First National Bank faces a required reserve ratio of _____ percent.
 A) ten B) twenty C) eighty D) ninety
- 16) Suppose that from a new checkable deposit, First National Bank holds two million dollars in vault cash, eight million dollars on deposit with the Federal Reserve, and nine million dollars in excess reserves. Given this information, we can say First National Bank has _____ million dollars in required reserves.
 A) one B) two C) eight D) ten
- 17) Suppose that from a new checkable deposit, First National Bank holds eight million dollars on deposit with the Federal Reserve, one million dollars in required reserves, and faces a required reserve ratio of ten percent. Given this information, we can say First National Bank has _____ million dollars in vault cash.
 A) two B) eight C) nine D) ten
- 18) Suppose that from a new checkable deposit, First National Bank holds eight million dollars on deposit with the Federal Reserve, nine million dollars in excess reserves, and faces a required reserve ratio of ten percent. Given this information, we can say First National Bank has _____ million dollars in vault cash.
 A) one B) two C) nine D) ten
- 19) When banks borrow money from the Federal Reserve, these funds are called _____
 A) Treasury funds. B) federal loans. C) discount loans. D) federal funds.

- 20) Purchases and sales of government securities by the Federal Reserve are called _____
 A) open market operations. B) swap transactions.
 C) discount loans. D) federal fund transfers.
- 21) When the Federal Reserve purchases a government bond from a primary dealer, reserves in the banking system _____ and the monetary base _____, everything else held constant.
 A) increase; increases B) increase; decreases
 C) decrease; increases D) decrease; decreases
- 22) When a primary dealer buys a government bond from the Federal Reserve, reserves in the banking system _____ and the monetary base _____, everything else held constant.
 A) increase; increases B) increase; decreases
 C) decrease; increases D) decrease; decreases
- 23) When the Fed buys \$100 worth of bonds from a primary dealer, reserves in the banking system _____
 A) increase by \$100. B) increase by more than \$100.
 C) decrease by \$100. D) decrease by more than \$100.
- 24) All else the same, when the Fed calls in a \$100 discount loan previously extended to the First National Bank, reserves in the banking system _____
 A) increase by \$100. B) increase by more than \$100.
 C) decrease by \$100. D) decrease by more than \$100.
- 25) Suppose a person cashes his payroll check and holds all the funds in the form of currency. Everything else held constant, total reserves in the banking system _____ and the monetary base _____.
 A) remain unchanged; increases B) decrease; remains unchanged
 C) decrease; increases D) decrease; decreases
- 26) The Fed does not tightly control the monetary base because it does NOT completely control _____
 A) open market sales. B) the discount rate.
 C) open market purchases. D) borrowed reserves.
- 27) When the Fed supplies the banking system with an extra dollar of reserves, deposits increase by more than one dollar—a process called _____
 A) expansionary deposit creation. B) stimulative deposit creation.
 C) multiple deposit creation. D) extra deposit creation.
- 28) In the simple deposit expansion model, if the Fed purchases \$100 worth of bonds from a bank that previously had no excess reserves, the bank can now increase its loans by _____
 A) \$10.
 B) \$100.
 C) \$100 times the reciprocal of the required reserve ratio.
 D) \$100 times the required reserve ratio.
- 29) In the simple deposit expansion model, if the Fed purchases \$100 worth of bonds from a bank that previously had no excess reserves, deposits in the banking system can potentially increase by _____
 A) \$10.
 B) \$100.
 C) \$100 times the reciprocal of the required reserve ratio.
 D) \$100 times the required reserve ratio.

- 30) If the required reserve ratio is 15 percent, the simple deposit multiplier is 30) _____
 A) 15.0. B) 6.67. C) 3.33. D) 1.5.
- 31) In the simple deposit expansion model, an expansion in checkable deposits of \$1,000 when the 31) _____
 required reserve ratio is equal to 20 percent implies that the Fed
 A) sold \$500 in government bonds. B) purchased \$500 in government bonds.
 C) purchased \$200 in government bonds. D) sold \$200 in government bonds.
- 32) If a bank has excess reserves of \$7,000 and demand deposit liabilities of \$100,000, and if the 32) _____
 reserve requirement is 10 percent, then the bank has actual reserves of
 A) \$14,000. B) \$17,000. C) \$22,000. D) \$27,000.
- 33) Decisions by _____ about their holdings of currency and by _____ about their holdings 33) _____
 of excess reserves affect the money supply.
 A) borrowers; depositors B) depositors; banks
 C) depositors; borrowers D) banks; depositors
- 34) The money supply is _____ related to the nonborrowed monetary base, and _____ related 34) _____
 to the level of borrowed reserves.
 A) negatively; negatively B) negatively; not
 C) positively; positively D) positively; negatively
- 35) Since the Federal Reserve sets the required reserve ratio to less than one, one dollar of reserves 35) _____
 can support _____ of checkable deposits.
 A) exactly twice the amount B) exactly one dollar
 C) more than one dollar D) less than one dollar
- 36) If the required reserve ratio is 10 percent, currency in circulation is \$400 billion, checkable 36) _____
 deposits are \$800 billion, and excess reserves total \$0.8 billion, then the money supply is
 _____ billion.
 A) \$8400 B) \$1200.8 C) \$1200 D) \$8000
- 37) If the required reserve ratio is 10 percent, currency in circulation is \$400 billion, checkable 37) _____
 deposits are \$800 billion, and excess reserves total \$0.8 billion, then the excess
 reserves-checkable deposit ratio is
 A) 0.01. B) 0.05. C) 0.001. D) 0.10.
- 38) If the required reserve ratio is one-third, currency in circulation is \$300 billion, and checkable 38) _____
 deposits are \$900 billion, then the currency-deposit ratio is
 A) 0.67. B) 0.33. C) 0.375. D) 0.25.
- 39) Everything else held constant, if the sum of the required reserve ratio and the excess reserve ratio 39) _____
 is less than one, a decrease in the currency-deposit ratio causes the M1 money multiplier to
 _____ and the money supply to _____.
 A) increase; increase B) decrease; decrease
 C) decrease; increase D) increase; decrease
- 40) The most common definition that monetary policymakers use for price stability is 40) _____
 A) low and stable inflation. B) low and stable deflation.
 C) high and stable inflation. D) an inflation rate of zero percent.

- 41) A central feature of monetary policy strategies in all countries is the use of a nominal variable that monetary policymakers use as an intermediate target to achieve an ultimate goal such as price stability. Such a variable is called a nominal _____
 A) benchmark. B) tether. C) guideline. D) anchor.
- 42) Monetary policy is considered time-inconsistent because _____
 A) policymakers are tempted to pursue discretionary policy that is more expansionary in the short run.
 B) of the lag times associated with the recognition of a potential economic problem and the implementation of monetary policy.
 C) of the lag times associated with the implementation of monetary policy and its effect on the economy.
 D) policymakers are tempted to pursue discretionary policy that is more contractionary in the short run.
- 43) The goal for high employment should be a level of unemployment at which the demand for labor equals the supply of labor. Economists call this level of unemployment the _____
 A) Keynesian rate level of unemployment. B) natural rate level of unemployment.
 C) frictional level of unemployment. D) structural level of unemployment.
- 44) Which set of goals can, at times, conflict in the short run? _____
 A) high employment and economic growth
 B) high employment and price level stability
 C) exchange rate stability and financial market stability
 D) interest rate stability and financial market stability
- 45) Which of the following is NOT an advantage of inflation targeting? _____
 A) There is an immediate signal on the achievement of the target.
 B) consistency with democratic principles
 C) reduction of the time-inconsistency problem
 D) increased monetary policy transparency
- 46) The decision by inflation targeters to choose inflation targets _____ zero reflects the concern of monetary policymakers that particularly _____ inflation can have substantial negative effects on real economic activity. _____
 A) above; low B) below; low C) below; high D) above; high
- 47) The problems of raising the level of the inflation target include _____
 A) it is more difficult to stabilize the inflation rate at a higher targeting level.
 B) the costs of higher inflation in terms of the distortions it produces in the economy are high.
 C) if the zero-lower-bound problem is rare, then the benefits of a higher inflation target are not very large.
 D) all of the above.
- 48) When asset prices increase above their fundamental values it is called an _____
 A) asset-price spike. B) irrational bubble.
 C) irrational spike. D) asset-price bubble.

- 49) Suppose interest rates are kept very low for a long time such that there is a spike in the amount of lending. Everything else held constant, this could cause _____ bubble. 49) _____
 A) a stock B) an irrational exuberance
 C) a credit-driven D) a debt-driven
- 50) Using Taylor's rule, when the equilibrium real federal funds rate is 2 percent, there is no output gap, the actual inflation rate is zero, and the target inflation rate is 2 percent, the nominal federal funds rate should be 50) _____
 A) 0 percent. B) 1 percent. C) 2 percent. D) 3 percent.
- 51) The exchange rate is 51) _____
 A) the change in the value of money over time.
 B) the price of one currency relative to gold.
 C) the value of a currency relative to inflation.
 D) the price of one currency relative to another.
- 52) Although foreign exchange market trades are said to involve the buying and selling of currencies, most trades involve the buying and selling of 52) _____
 A) bank deposits denominated in different currencies.
 B) SDRs.
 C) ECUs.
 D) gold.
- 53) When the exchange rate for the Mexican peso changes from 9 pesos to the U.S. dollar to 10 pesos to the U.S. dollar, then the Mexican peso has _____ and the U.S. dollar has _____. 53) _____
 A) appreciated; appreciated B) depreciated; appreciated
 C) appreciated; depreciated D) depreciated; depreciated
- 54) If the U.S. dollar appreciates from 1.25 Swiss franc per U.S. dollar to 1.5 francs per dollar, then the franc depreciates from _____ U.S. dollars per franc to _____ U.S. dollars per franc. 54) _____
 A) 0.67; 0.80 B) 0.33; 0.50 C) 0.80; 0.67 D) 0.50; 0.33
- 55) According to the law of one price, if the price of Colombian coffee is 100 Colombian pesos per pound and the price of Brazilian coffee is 4 Brazilian reals per pound, then the exchange rate between the Colombian peso and the Brazilian real is 55) _____
 A) 0.4 pesos per real. B) 40 pesos per real.
 C) 25 pesos per real. D) 100 pesos per real.
- 56) The theory of PPP suggests that if one country's price level rises relative to another's, its currency should 56) _____
 A) float. B) appreciate.
 C) depreciate. D) do none of the above.
- 57) Assume that the following are the predicted inflation rates in these countries for the year: 2% for the United States, 3% for Canada; 4% for Mexico, and 5% for Brazil. According to the purchasing power parity and everything else held constant, which of the following would we expect to happen? 57) _____
 A) The Canadian dollar will depreciate against the Mexican peso.
 B) The U.S. dollar will depreciate against the Canadian dollar.
 C) The Brazilian real will depreciate against the U.S. dollar.
 D) The Mexican peso will depreciate against the Brazilian real.

- 58) Anything that increases the demand for foreign goods relative to domestic goods tends to _____ the domestic currency because domestic goods will only continue to sell well if the value of the domestic currency is _____, everything else held constant. 58) _____
- A) appreciate; lower B) depreciate; higher
C) depreciate; lower D) appreciate; higher
- 59) The theory of portfolio choice suggests that the most important factor affecting the demand for domestic and foreign assets is 59) _____
- A) the riskiness of these assets relative to one another.
B) the expected return on these assets relative to one another.
C) the liquidity of these assets relative to one another.
D) the level of trade and capital flows.
- 60) When Americans or foreigners expect the return on _____ assets to be high relative to the return on _____ assets, there is a higher demand for dollar assets and a correspondingly lower demand for foreign assets. 60) _____
- A) foreign; foreign B) dollar; foreign C) dollar; dollar D) foreign; dollar